

QLmonthly May 2026 ¹

Kathrin Ellieroth¹² Amanda Michaud²

¹Colby College

²FRB- Minneapolis

¹Based on Ellieroth & Michaud, "Quits, Layoffs, and Labor Supply" Institute Working Paper 94 (2024)

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1. Recent Developments in Layoffs, Quits, and Job Finding
Our reading: Stable, steady labor market.
2. This Month's Special Topic: Unmet Labor Supply- Looking Beyond Unemployment

Layoffs Continue Clear Decline

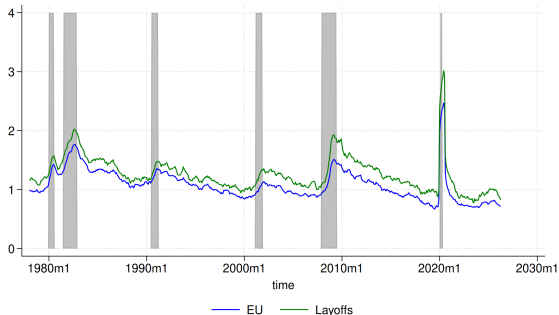


Figure: Prime age monthly Employment to Unemployment (E-to-U) flows and layoffs to non-employment from CPS household survey.

- Layoffs and flows from Employment to Unemployment (EU) continue their decline since the beginning of the year
- Layoffs to non-employment approaching historic lows (0.81 today vs 0.7 in 2023).

Quits Stable

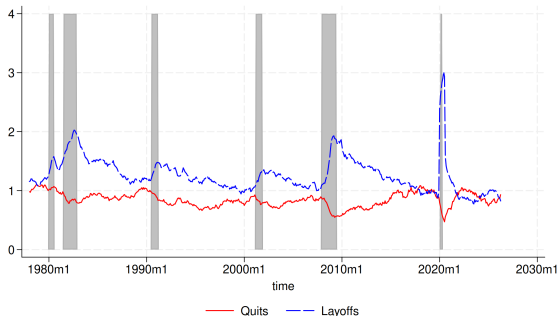


Figure: Quits and Layoffs to non-employment

- After a brief increase in the previous month, quits are back at the previous 6 months' average of 0.9%.
- Quits seem stable, clearly higher than 2025 despite noise.

No Clear News in Job Finding Rates

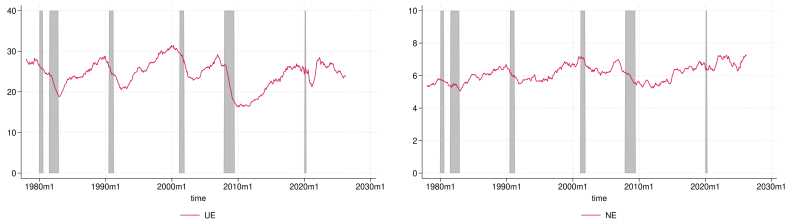


Figure: Job finding rates from unemployment (left) and non-participation (right) for Prime Age Workers

- ▶ Job finding rates remain stable.
- ▶ Finding rates for non-participants remain at all time highs.

What do we make of this?

Incredible stability in labor markets.

Recap: Household survey (CPS) indicates:

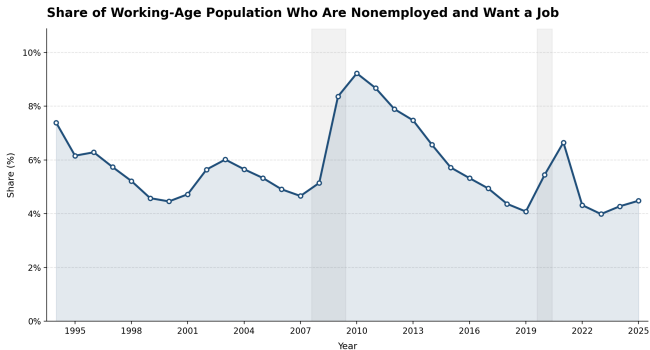
- ▶ Quits and layoffs signal a steady labor market.
 - ▶ Stable quits + decline in layoffs signal steady labor market.
- ▶ Job finding rates from U and N show early signs of stabilization
- ▶ Layoffs and EU flows in sync
 - ▶ Higher than usual labor force exits of 2025 have declined.

Our reading: Flows signal steady labor market with no red flags in recent developments.

Discussion of the Month

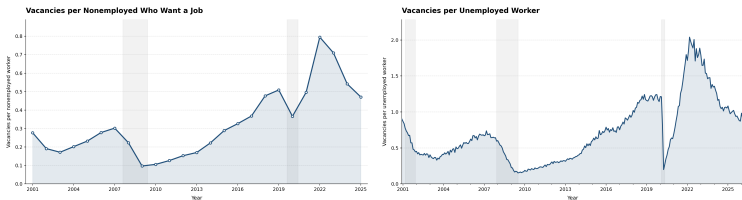
Unmet Labor Supply- Looking Beyond Unemployment

Unmet Labor Supply has Remained Low



- Share of the population who want a job but do not have one remains near 30-year lows and has not risen much since 2022.
- We have a forthcoming draft showing this question adds power above unemployment for forecasting employment and wage growth.

Vacancies per Job Wanted (left) vs Unemployed (right)



- ▶ Vacancies per non-employed who want a job (V/wtw) usually track Vacancies per Unemployed (V/U)
- ▶ Post-2022, V/wtw shows less slack than V/U , both in the magnitude of the decline ($<40\%$ vs $>50\%$) and relative to historic levels (V/wtw near 2019; V/U near 2017).
- ▶ This can help explain steady unemployment and continued wage growth despite low hiring.